

Korea Economic Outlook

Macroeconomic implications of the tech boom

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Korea Economic Outlook: Key points

Strong momentum in GDP growth, yet divergent between sectors

Korea's growth cycle has moved decisively into a tech-led upturn, with annual real GDP growth likely to rise from 1.1% in 2025 to 3.8% in 2026 and 3.3% in 2027. The key driver remains the AI-related tech cycle, which is now lifting exports, corporate profitability, and – on a short lag – facility investment. Domestic demand should also improve versus 2024-25: consumption is recovering gradually in line with household income conditions (rather than a large wealth-effect surge), and we expect private consumption to run around a mid-2% annualized pace near term, firming further over time. Facility investment should remain a central engine of the cycle, while construction is still likely to be a drag in 2026, although the negative contribution should be less severe than in 2025. Taken together, the recovery is real but uneven, with the strongest impulse coming through exports/capex and a slower pass-through into household-led demand.

On the external side, the tech cycle continues to dominate Korea's export outlook. Based on 1H26 trends and the ongoing AI demand backdrop, we now expect real exports to grow in the low-double digits (~11%) in 2026, with some moderation thereafter but continued outperformance versus the global pace. The export mix remains important: tech exports are supported by both price and volume dynamics, while non-tech volumes have held up better than feared even amid oil-related disruptions. Real imports should rise alongside capex and intermediate goods demand, but net exports should still provide a meaningful support to growth given the scale of the tech upswing and improved terms of trade. Overall, the balance between resilient tech-led exports and a gradually improving domestic demand base underpins our stronger 2026-27 growth profile, even as sectoral divergence persists.

CPI inflation is turning up amid growth recovery and supply shock

Inflation dynamics remain a balance of supply-driven shocks and still-firm underlying momentum. While energy-price volatility has driven headline swings, policy smoothing measures (e.g., fuel price caps) have limited the mechanical pass-through to retail fuel prices, reducing the risk of a repeat of the 2022-23-style surge. At the same time, recent prints reinforce a “headline relief vs sticky core” mix: headline inflation can undershoot when fuel and food disinflate, yet core momentum can remain firm, supported by services and pockets of goods inflation (including tech-related durables). Looking ahead, we continue to expect a base-effect-driven rise in y/y inflation into the mid-3% range in August, followed by gradual easing back toward the high-2% range by 1Q next year. The upside bias to core inflation should be contained relative to what the output gap might imply, reflecting easing labor-market tightness and the uneven growth mix, but as terms-of-trade gains and income improvements feed through with a lag into demand and pricing, we expect core inflation to stay firmer than a benign disinflation narrative would suggest.

Upside risk to BoK terminal rate; tech boom provides fiscal windfall

The policy backdrop has shifted from an easing mindset to a normalization phase, as growth momentum has proven stronger and more persistent than previously assumed. The tech cycle is now seen as a meaningful source of demand-side inflation risk over the medium term through capex, profitability, and income spillovers – even if near-term headline inflation remains influenced by fuel and food. In this environment, it remains premature to impose a hard ceiling on the terminal rate: we now target a terminal policy rate of 3.75% by 2Q27, while acknowledging residual upside risk, particularly if potential growth is drifting higher (we now estimate potential growth rising toward ~mid 2%). That said, the uneven composition of growth and easing labour tightness suggest inflation may still undershoot what headline GDP might otherwise imply, keeping the terminal-rate debate open rather than one-way.

Korea 2026 economic outlook: Key points

On fiscal policy, the tech boom is increasingly becoming a measurable revenue story rather than a forecast conjecture. The corporate income tax windfall from major memory producers is set to lift receipts sharply from 2H26, pushing overall fiscal revenues higher (our baseline sees revenues rising from 22.6% of GDP in 2025 to 24.6% in 2026 and 27.6% in 2027). Under a pure status-quo framework, the arithmetic could imply outsized surpluses and rapid debt paydown; however, we view some form of windfall buffering (e.g., an SWF-type structure) as a more plausible response to avoid procyclicality and rigid earmark-driven inefficiencies, while preserving room for targeted investment and redistribution.

Strong current account surplus amid continued capital outflows

Korea's external balance is entering historically unusual territory. The current account surplus is likely to rise further in 2026 as the tech-led merchandise surplus and terms-of-trade tailwinds overwhelm the headwinds from the oil shock, with the surplus potentially reaching the ~20% of GDP range. This reflects a large swing in the saving-investment balance, driven primarily by private-sector net saving associated with the tech profit windfall (with government saving also improving later). Mechanically, this implies rapid accumulation of net foreign assets and a further strengthening in Korea's net international investment position. At the same time, the FX implications are less straightforward because a large share of the surplus continues to be recycled abroad through sustained outward investment flows. The widening gap between the headline current account and the "adjusted basic balance" underscores that ongoing net FDI outflows, equity outflows, and institutional overseas allocation can offset a portion of the current account impulse. As a result, we expect the REER impact of the record surplus to be more muted than historical correlations would suggest, with the external surplus providing a stabilizing buffer rather than forcing a one-for-one currency adjustment – especially as structural outflow pressures remain active.

ECONOMIC FORECASTS

	2019-23	2024	2025	2026f	2027f
Real GDP, % change	2.1	2.2	1.1	3.8	3.3
Consumption*	1.5	1.0	1.2	1.5	2.1
Investment*	0.2	-0.5	-0.7	0.5	1.2
Net trade*	0.5	1.6	0.6	1.8	0.0
Consumer prices, %oya	2.4	2.3	2.1	3.0	2.3
% Dec/Dec	2.6	1.9	2.3	3.4	1.4
Producer prices, %oya	3.1	1.7	1.1	5.7	1.0
Government balance, % of GDP	-2.0	-1.7	-1.8	1.2	0.0
Current account balance, US\$bn	55.2	100.0	129.0	399.7	307.3
% of GDP	3.0	5.3	6.9	19.7	14.7

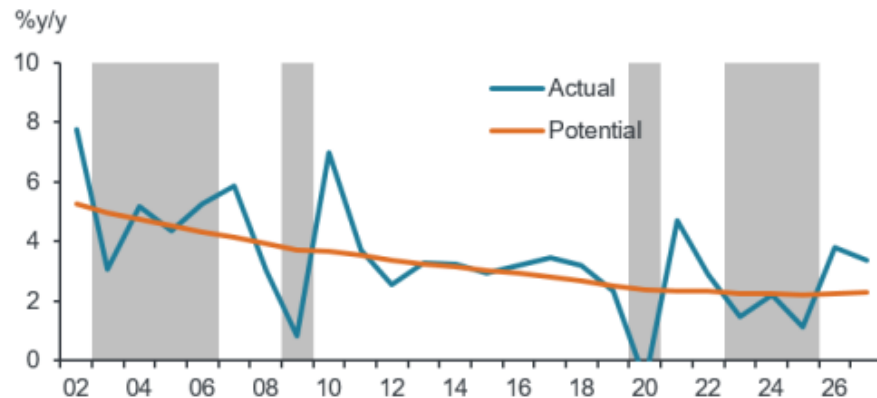
* Contribution to growth of GDP

Source: The Bank of Korea, Ministry of Economy and Finance, J.P. Morgan forecasts.

Korea: Real GDP growth

Real GDP growth is strengthening, driven by the tech cycle (2026: 3.8% y/y, 2027: 3.3%)

REAL GDP GROWTH



Source: BoK, J.P. Morgan forecasts. Shaded area refers to years with negative output gap

It appears that the period from late 2024 to 2025 marked the cycle low due to monetary policy tightening. The strong growth outlook for 2026-27, driven by the tech cycle, has led us to revise up our estimate of potential growth as well. We now expect potential growth – previously estimated at below 2% – to rise to around 2.2-2.3%.

OUTPUT GAP ESTIMATE



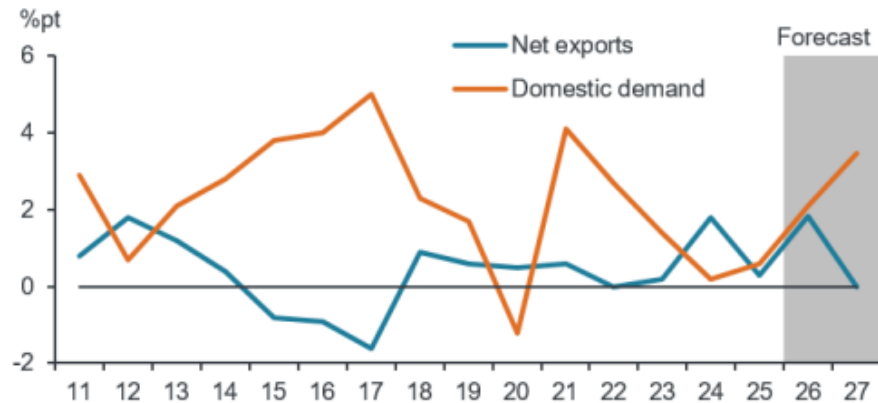
Source: BoK J.P. Morgan forecasts

Even after revising up our potential growth estimate, we still expect the output gap to turn positive in the second half of this year and to widen further through 2027.

Real GDP growth

Tech boom to gradually spill over to investment and consumption

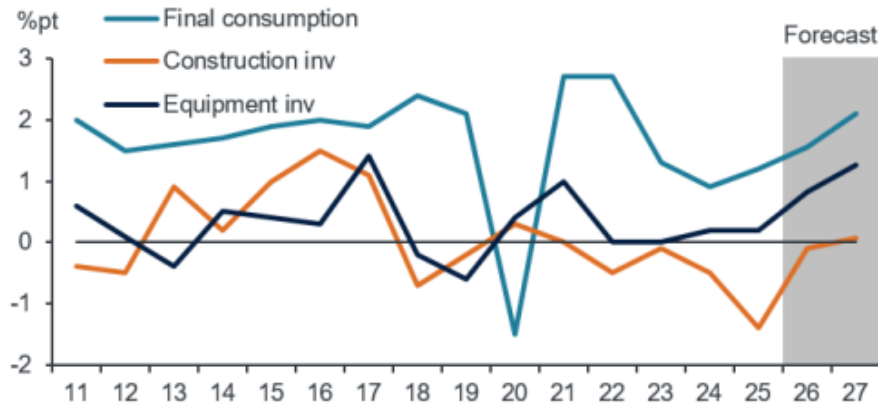
CONTRIBUTION TO REAL GDP GROWTH



Source: BoK, J.P. Morgan forecasts.

The tech cycle is likely to offset the drag from the Middle East conflict, keeping the growth contribution from net exports strongly positive. The contribution from domestic demand will likely turn up following the drag experienced in 2024-25.

CONTRIBUTION TO REAL GDP GROWTH



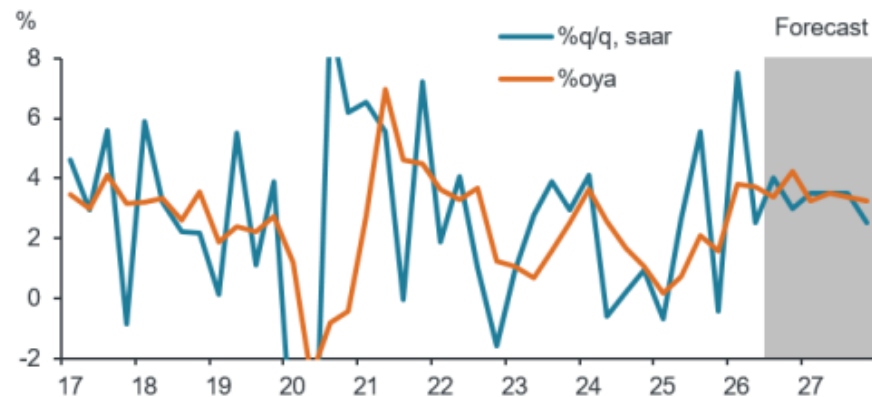
Source: BoK, J.P. Morgan forecasts.

Consumption expenditure and equipment investment are likely to lead the recovery, while construction growth will likely experience a further correction in 2026, though the drag should be less pronounced than in 2025.

Real GDP growth

Strong growth momentum implied by 2Q26 data

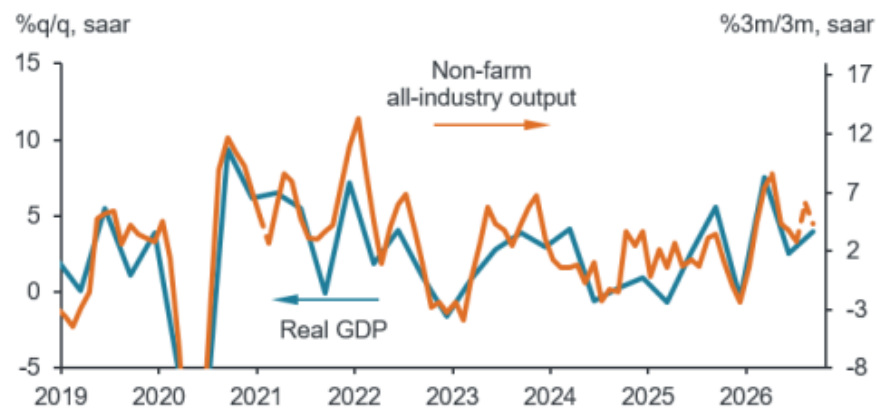
REAL GDP GROWTH



Source: BoK, J.P. Morgan forecasts.

2Q26 real GDP print was not only above consensus, but also modestly stronger than our already above-consensus forecast. The 'weakest quarter' still printed at 2.5% saa, which reinforces our view that the GDP growth will exceed the potential trend by a meaningful margin.

REAL GDP AND NON-FARM ALL INDUSTRY OUTPUT



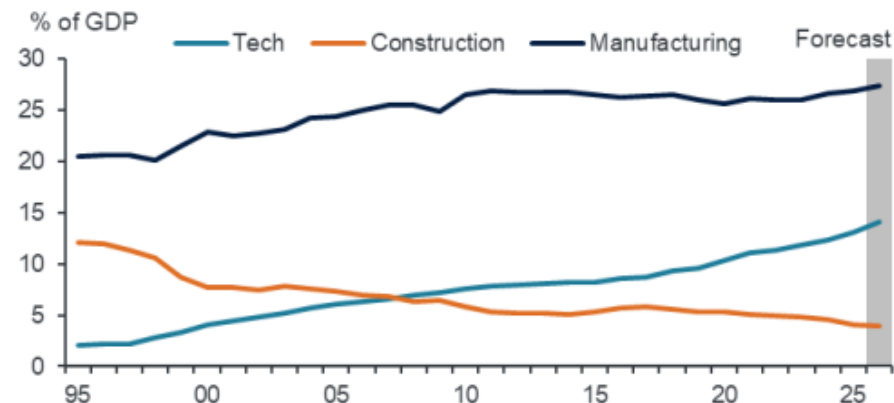
Source: BoK, NSO, J.P. Morgan. Dotted lines are JPM forecasts.

We expect real GDP growth to accelerate in 3Q26, assuming real exports and facility investment resume their strong upturn. Private consumption growth is also likely to run at a mid-2% annualized pace.

Long-term trend

Sectoral divergence has widened since the post-COVID-19 period, with silver linings from tech boom

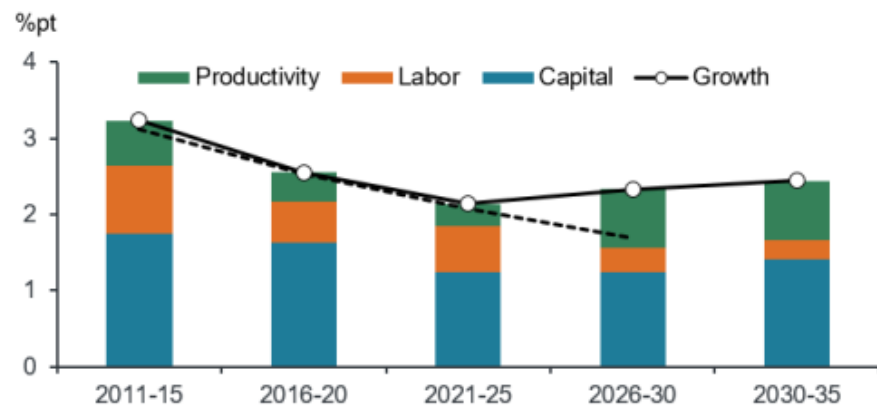
SECTORAL SHARE OF PRODUCTION



Source: BoK, J.P. Morgan forecasts.

Over the past 30 years, the tech sector's share of GDP has steadily risen, while construction output has declined. This trend is unsurprising given ongoing population aging and continued automation in production.

COMPOSITION OF POTENTIAL GDP GROWTH



Source: J.P. Morgan estimates. * Dotted line denotes previous growth estimates in Jan 2020.

If the terms of trade windfall can be converted into real productive capacity through corporate capex, public infrastructure, and capital deepening, potential growth path could deviate upward from the pre-AI baseline of steady decline.

Consumption demand

Model flagged upside risk, but the current trend aligns with income conditions

REAL PRIVATE CONSUMPTION



Source: BoK, J.P. Morgan

According to our model forecasts incorporating income and wealth effects, consumption should already have surged dramatically in the second half of last year and the first half of this year, but we have not seen that pattern so far.

PRIVATE CONSUMPTION AND REAL DISPOSABLE INCOME



Source: BoK, J.P. Morgan.

At present, consumption is recovering gradually in line with real household disposable income growth, but we see upside risks going forward.

Consumption demand

Rising demand is being driven by durable and luxury goods

PRIVATE CONSUMPTION GROWTH BY TYPE (GDP)



Source: BoK, J.P. Morgan

In the post-pandemic period, durable goods demand has been recovering from the drag of higher interest rates. Meanwhile, services and non-durables demand – which had been relatively resilient – have remained broadly stable. As a result, the overall private consumption trend has likely been driven primarily by the recovery in durables.

RETAIL SALES: LUXURY VS. CONSUMER STAPLE



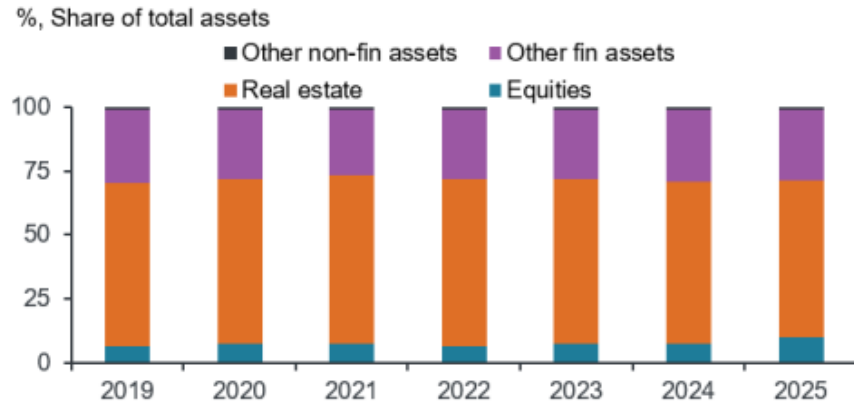
Source: MoTIE, J.P. Morgan.

Demand for luxury goods, which is more sensitive to wealth effects, has already risen strongly, while demand for consumer staples appears to be trending down – consistent with the lower arm of a K-shaped pattern.

Household sector asset

The wealth effect looks modest, both positive and negative

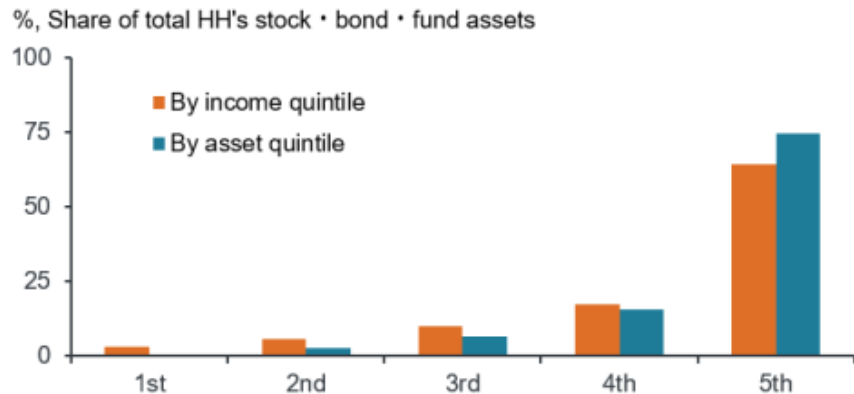
HOUSEHOLDS' ASSET BREAKDOWN



Source: BoK, J.P. Morgan, * Including non-profit institutions serving households

Despite the 2025 rally, the share of household assets held in equities increased only modestly – from 7% to 9% – and real estate continues to dominate household balance sheets by a wide margin.

HOUSEHOLDS' FINANCIAL ASSET HOLDINGS BY QUINTILE



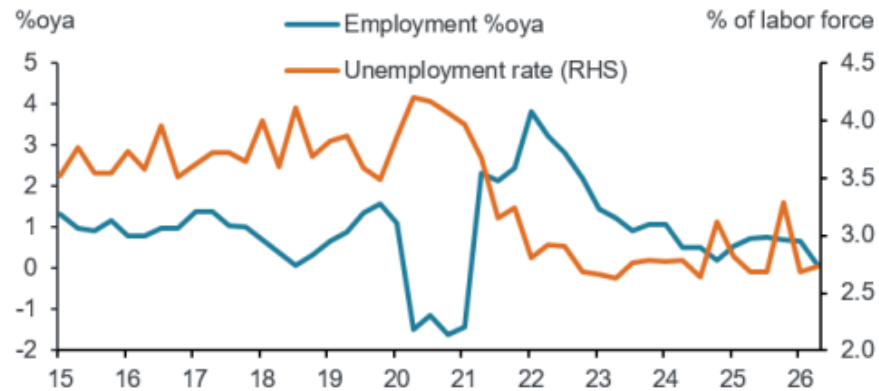
Source: BoK, J.P. Morgan, * Including non-profit institutions serving households.

Because equity holdings are concentrated among higher-income and higher-wealth households – where the marginal propensity to consume is typically lower – the real-economy spillovers from equity price fluctuations are likely to be limited.

Labor market

Employment and base salary growth are moderating, but bonus payments pose upside risk

EMPLOYMENT GROWTH AND JOBLESS RATE



Source: NSO, J.P. Morgan

After the post-pandemic boom, employment growth has moderated, but the unemployment rate remains low. Labor force participation rose sharply during the post-pandemic period and has remained elevated for more than three years.

WAGE AND BONUS GROWTH



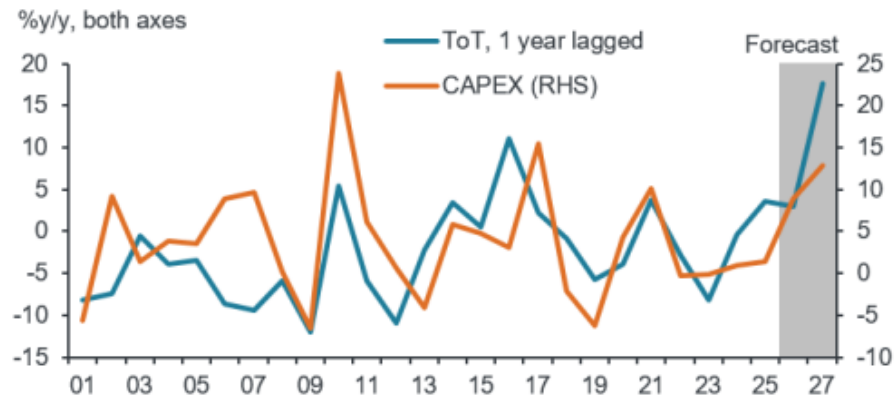
Source: MoEL, J.P. Morgan

There has been a post-pandemic shift in the service employment structure towards more flexible work arrangements. Gig-style employment has been rising, often at the expense of consumer-facing service sectors.

Fixed investment

Tailwinds from terms of trade to boost capex amid continued pain in construction

TERMS OF TRADE AND BUSINESS CAPEX



Source: BoK, J.P. Morgan forecasts.

The terms of trade had deteriorated by 2022, but we expect a continued recovery with an upturn in the tech price cycle. Equipment investment demand is likely to recover further but not as much as ToT recovery implies, given the outlook for increased overseas investment.

CONSTRUCTION STARTS AND COMPLETIONS



Source: BoK, MoLIT, NSO, J.P. Morgan.

While there has been a tendency for completions to outperform starts since the pandemic, given that starts are still down by nearly half from their peak, downside risks to construction investment appear to outweigh the upside.

Exports outlook

Tech sector exports continue to lead overall exports growth

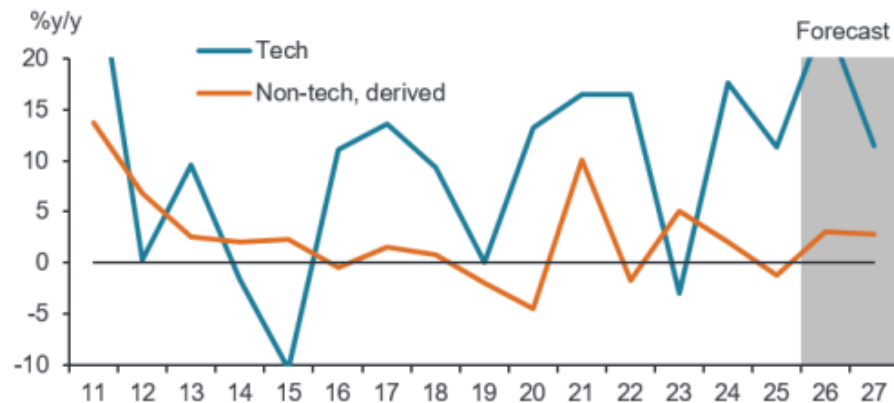
KOREA'S REAL EXPORTS AND GLOBAL GDP



Source: BoK, J.P. Morgan forecasts.

Based on the 1H26 trend, we expect Korea's real exports to grow in the low-double digits (~11%) this year. Even if growth moderates somewhat next year, we think Korea has entered a phase of outperformance versus the global growth pace.

TECH AND NON-TECH REAL EXPORTS



Source: BoK, J.P. Morgan forecasts.

Real tech exports growth surged in early 2026, indicating strong full-year momentum as volumes catch up with nominal gains. Non-tech export volumes have shown a stronger-than-expected recovery in 1H26, suggesting that low single-digit growth could be sustained.

Exports outlook

AI-related tech demand likely continues to provide upside

AI-RELATED TECH EXPORTS

USD value, 2022=100, both axes

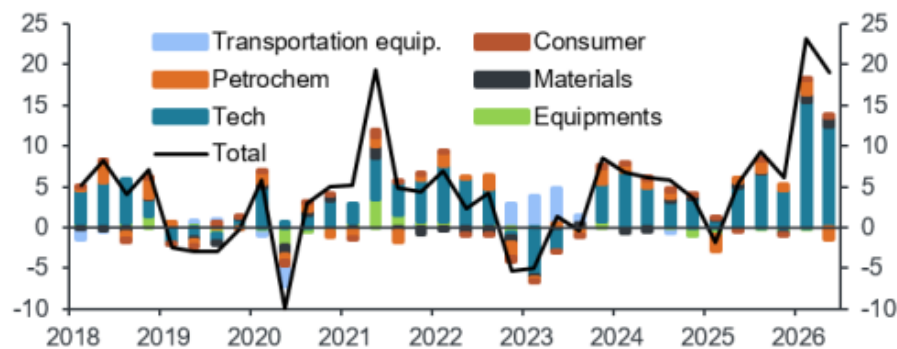


Source: Haver, KITA, J.P. Morgan

Korea's AI-related tech exports (semiconductors and computers) have lagged Taiwan's surge since 2023, likely reflecting Korea's larger legacy-product share. That said, as Korea follows Taiwan with a delay, there appears to be strong upside potential over the next few quarters.

EXPORTS VOLUME INDEX: CONTRIBUTION BY SECTOR

%oya, %pt



Source: BoK, J.P. Morgan estimates.

Despite a modest drag on some petrochemical exports due to crude import disruptions, non-tech export volumes have held up well, and tech export volumes continue to rise at a solid pace, providing a safety buffer for overall external demand.

AI boom and semiconductor exports

Nominal tech exports growth is being driven by both price and quantity factors

SEMICONDUCTOR EXPORTS VOLUME AND PRICES



Source: BoK and J.P. Morgan

The current cycle is showing a different pattern from previous ones. Whereas increased supply typically leads to price declines after a few quarters, now explosive demand growth is causing both supply and prices to rise simultaneously.

SEMICONDUCTOR EXPORTS INDICES



Source: BoK, and J.P. Morgan. * Dotted lines are JPM forecast.

The current surge clearly contains a cyclical price component, but persistent AI-related demand, supply bottlenecks, and large-scale investment plans suggest that the cycle may now be operating around a higher nominal equilibrium.

AI boom and supply-chain reshuffling

Tech-intensive investments to commercialize AI in manufacturing

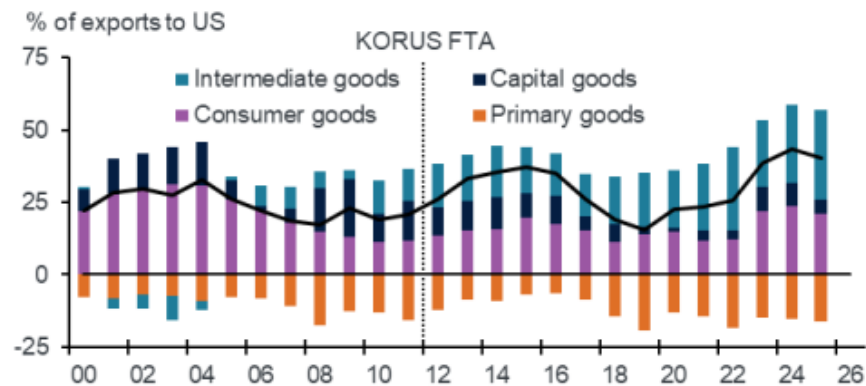
SHARE OF RESPONDENTS: AI FULLY ROLLED OUT IN THIS AREA



Source: BCG AI survey (2023), J.P. Morgan

As supply chains are restructured towards DM final demand, there will inevitably be cost pressures related to labor and other production inputs. Consequently, production chains are likely to be modernized with maximum automation by utilization of AI technology.

KOREA'S TRADE BALANCE OVER EXPORTS TO US



Source: Markit, MoTIE, KITA, J.P. Morgan

Korea's trade surplus with the US is mostly in intermediate and capital goods; it structurally increased after the FTA took effect with a rise in Korea's FDI in North America. The tech-sector-driven investment over the US is likely to benefit Korea's external balance.

Inflation

July CPI undershoots, yet core stays firm

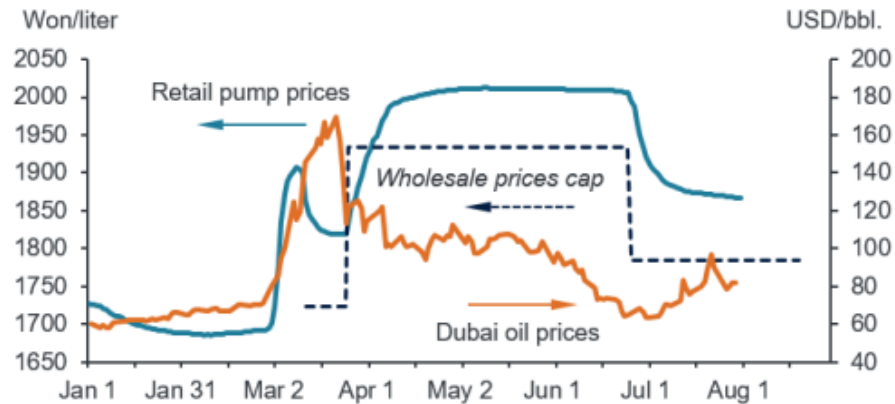
INFLATION FORECAST



Source: NSO, J.P. Morgan forecasts.

We continue to assume inflation rises into the mid-3% range in August on base effects, before gradually easing back toward the high-2% range by 1Q next year

RETAIL GASOLINE PRICES AND DUBAI CRUDE OIL PRICES



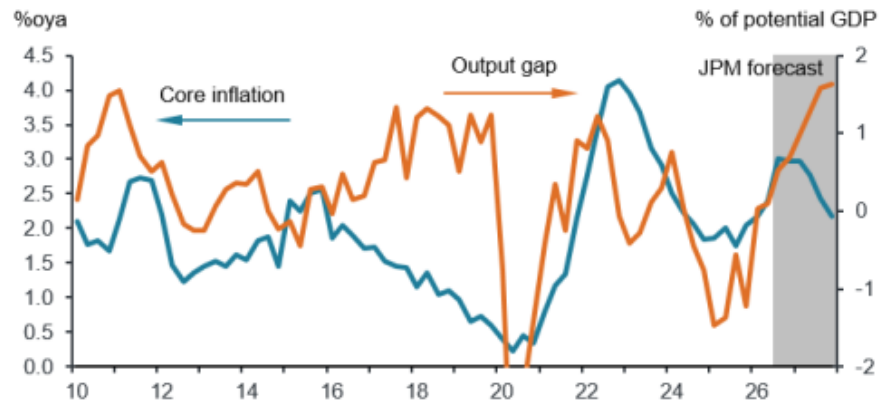
Source: KNOC, J.P. Morgan.

Burden-sharing measures are being implemented through a wholesale price cap, distributing the impact among refiners (via margin squeeze), consumers (through price hikes), and the government (via subsidies to refiners).

Inflation

Labor market conditions indicate a limit to the upside to core inflation

OUTPUT GAP AND CORE INFLATION



Source: BoK, NSO, J.P. Morgan estimates

Between 2017 and 2019, core inflation was below the level consistent with the output gap, while in 2022-23, it rose above that level. The output gap is expected to turn significantly positive, but as in 2017–18, core inflation is likely to undershoot the pace implied by the output gap. This reflects our assessment of labor market conditions.

LABOR VACANCY RATIO AND CORE INFLATION



Source: NSO, MOEL, J.P. Morgan

Labor market tightness has shown a close correlation with the core inflation trend. Since 2023, the labor market has eased, suggesting a softer trajectory for core CPI inflation.

Monetary policy

Nuanced implications of financial stability considerations

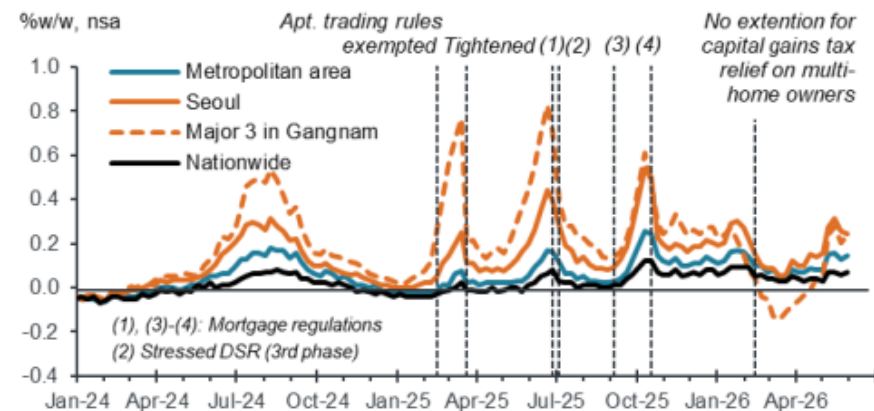
REAL INTEREST RATE, REER, REAL HOUSE PRICE



Source: BoK, J.P. Morgan estimates.

Financial conditions have eased after the tightening bias in 2023. Real house price index stays in a tightening-to-neutral stance, offset by a sharp rise in stock market prices.

WEEKLY APARTMENT SALES PRICES



Source: Korea Appraisal Board, J.P. Morgan

Unlike the nationwide real house price index, apartment prices in major Gangnam districts have been more sensitive to regulatory changes and market expectations. The upward trend in housing prices in key metropolitan areas has recently moderated as regulatory measures have tightened.

Monetary policy

Targeting a terminal rate at 3.75% by 2Q27 with an upside risk

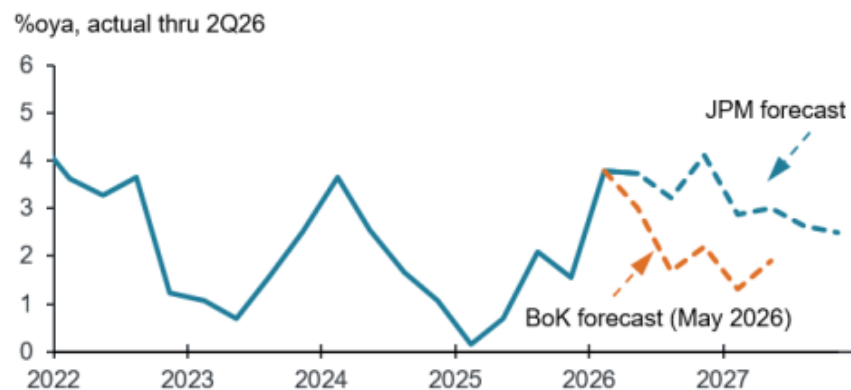
SIMPLE TAYLOR RULE AND FINANCIAL CONDITION INDEX



Source: BoK, J.P. Morgan forecasts. * $0.5 + 0.5 \times \text{output gap} + 0.5 \times \text{core inf. dev. from 2\%}$

While policy is not mechanically tied to a Taylor rule, the combination of the output gap, inflation dynamics, and financial conditions suggests we are approaching a point where a faster shift in the monetary policy stance is likely.

REAL GDP GROWTH PATH, JPM VS. BOK



Source: BoK, J.P. Morgan

After an initial, front-loaded response to the cycle, there is upside risk to the terminal rate driven by a potential upward reassessment of the neutral rate. We expect potential growth to rise by around 50bp in the wake of the AI boom, and we see significant upside risk to the Bank of Korea's growth forecast.

Fiscal policy

Fiscal implications of the tech boom: Tax windfall and status quo

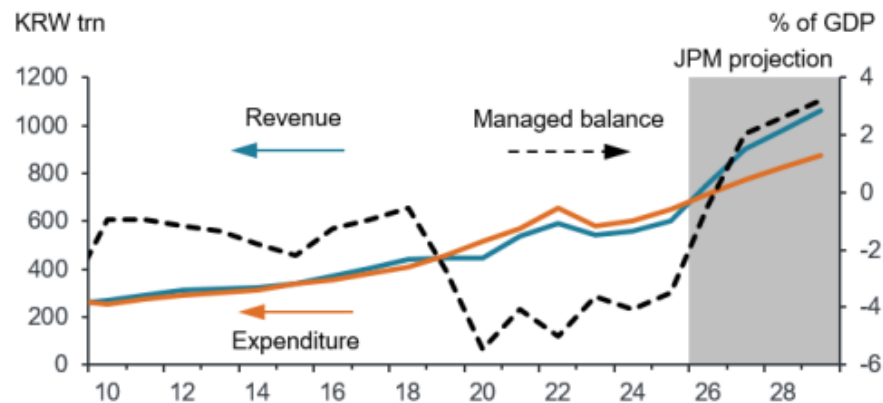
FISCAL REVENUE



Source: MoEF, J.P. Morgan

The tech windfall is set to lift corporate income tax receipts sharply from 2H26. We expect overall fiscal revenue to rise from 22.6% of GDP in 2025 to 24.6% in 2026 and to 27.6% in 2027.

FISCAL TRAJECTORY UNDER CURRENT RULES



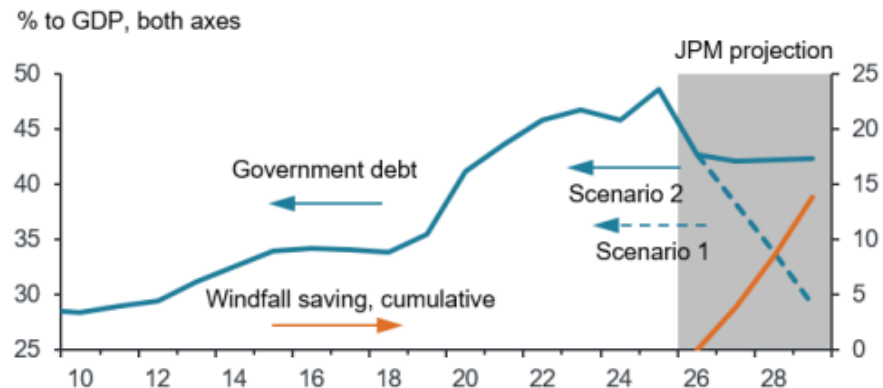
Source: MoEF, NSO, and J.P. Morgan

If the windfall were absorbed under the current framework without any institutional changes, our projections imply that the fiscal balance would swing sharply: after a -1.7% of GDP deficit in 2025, the balance would flip to a +1.3% surplus in 2026, then rise further to a +3.9% surplus in 2027.

Fiscal policy

Scenario for windfall separation

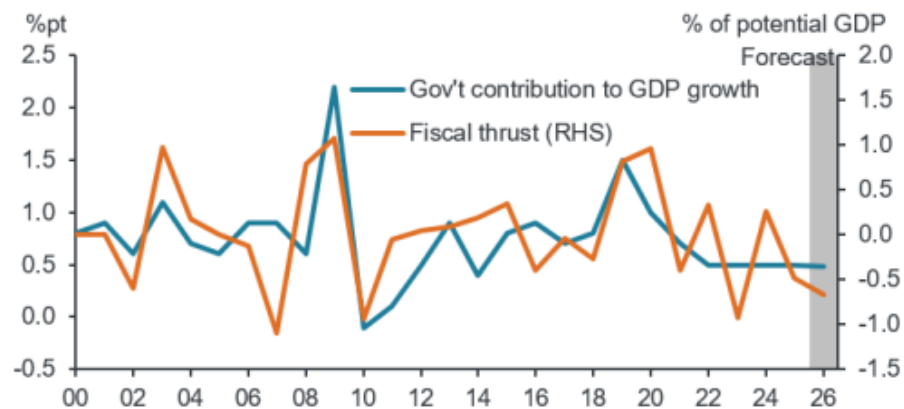
GOVERNMENT DEBT AND WINDFALL SAVING



Source: MoEF, J.P. Morgan

For windfall separation, one reasonable starting point would be to define the excess windfall as the gap between realized revenues and 'structural revenues' excluding the windfall, in order to prevent a procyclical spending response while avoiding disruptive debt paydown.

FISCAL IMPULSE AND GROWTH IMPACT



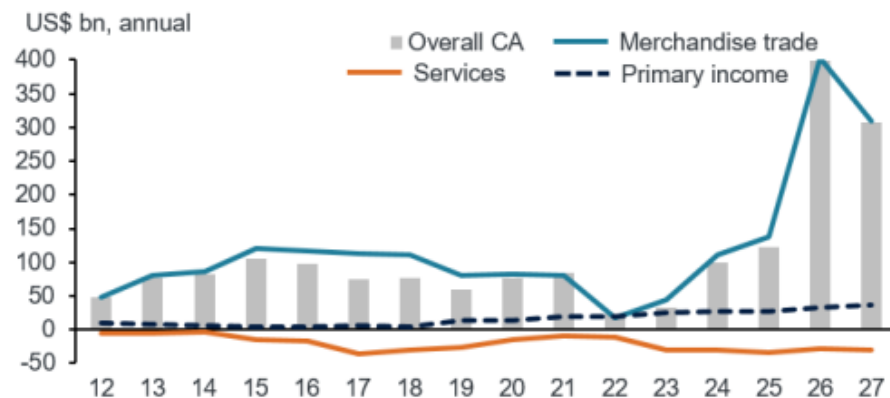
Source: BoK, MoEF, J.P. Morgan Economics

Depending on how the windfall savings are ultimately used, there could also be sizable additional stimulus via such off-budget spending channels, which would add upside risk to the contribution of government spending to GDP growth.

External balance

BoP surplus to rise further as tailwinds overwhelm headwinds

CURRENT ACCOUNT BALANCE



Source: BoK, J.P. Morgan forecasts for 2026 and 2027

The current account is likely to reach the 20% range of GDP in 2026, as the surging merchandise trade surplus – driven by a strong tech sector windfall – more than offsets the drag from the oil price shock.

REAL EFFECTIVE EXCHANGE RATE



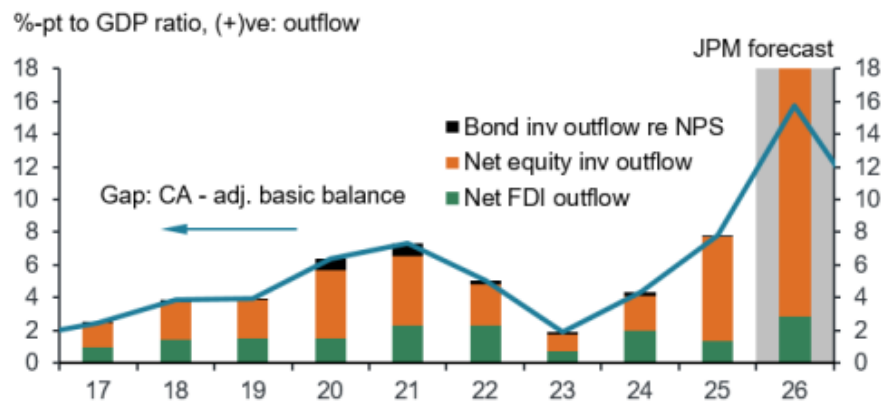
Source: BoK, J.P. Morgan forecasts

The correlation between the REER and current account balance, which held from 2010 to 2023, has broken down since 2024, with the gap widening significantly.

External balance

Widening gap between CA and basic balance suggests a stable REER

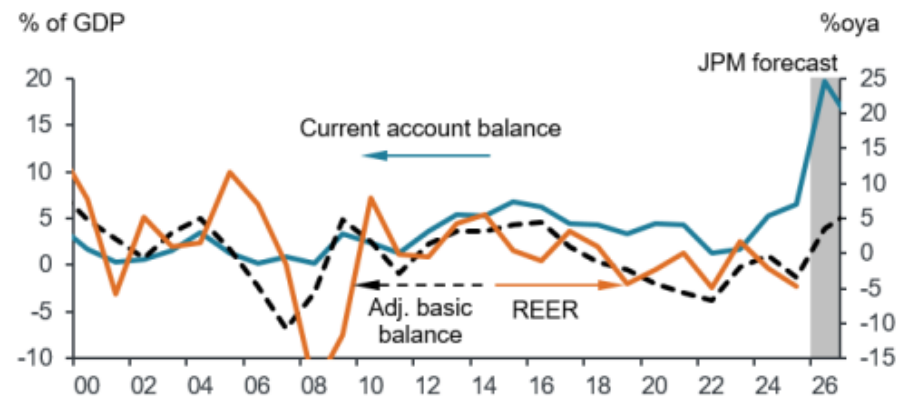
WIDENING GAP – CA VS. ADJ. BASIC BALANCE



Source: BoK, NPS, J.P. Morgan * Assuming unhedged bonds inflow in 2026 re WGBI

As a longer-term indicator for gauging FX market pressure from the external balance, we may use the adjusted basic balance (current account surplus minus net FDI outflows, net equity outflows, and NPS overseas bond investments), which excludes major unhedged components of the financial account.

EXTERNAL BALANCES AND REER



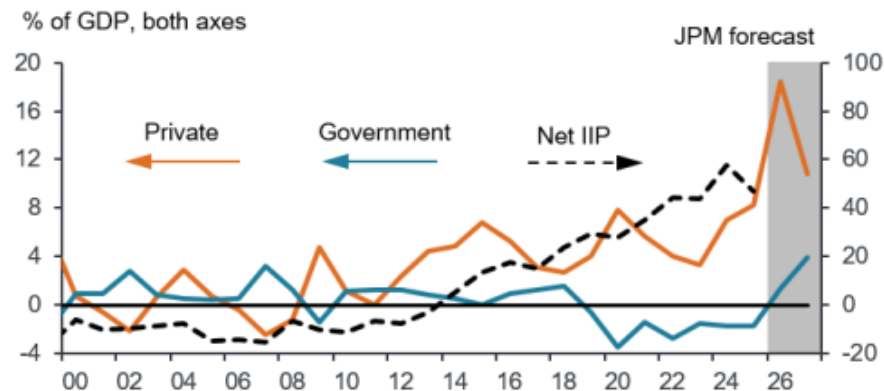
Source: BoK, NPS, J.P. Morgan

The adjusted basic balance is likely to weaken from 1.0% of GDP in 2024 to around -1.3% in 2025, before improving to the 4% range this year. While the strong current account surplus is offset by continued capital outflows, this still implies a stable REER in 2026.

External balance

Structural headwinds are not yet binding

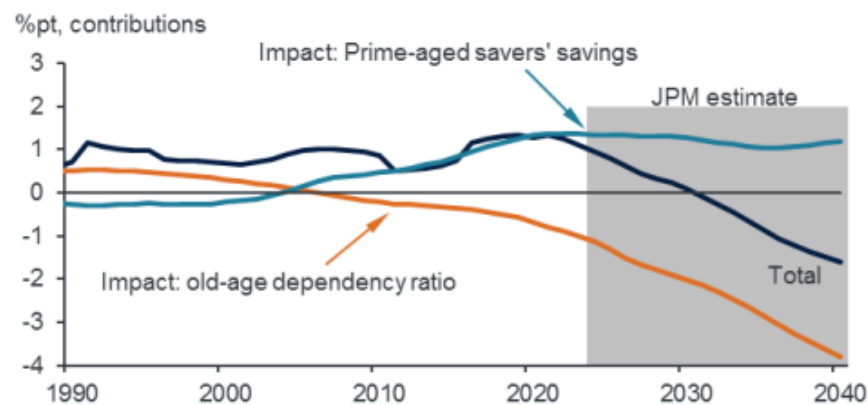
NET SAVINGS AND INTERNATIONAL INVESTMENT POSITION



Source: BoK, J.P. Morgan

The structurally widening current account surplus is showing up as a rise in private net saving, and is simultaneously translating into a rapid accumulation of net foreign assets. From 2027 onward, government saving is also expected to turn positive, adding to aggregate net saving.

IMPACT OF DEMOGRAPHIC STRUCTURE ON CURRENT ACCOUNT



Source: BoK, UN World Population Prospects (2024), J.P. Morgan estimates

Net savings from the demographic structure appear to be at their peak now, as prime savers' savings still dominate. According to forecasts based on the IMF's EBA model, the impact of the demographic factor transition is not likely to be dominant within the next 10 years.

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